

HOUSE BILL 2103

By Stevens

AN ACT to amend Tennessee Code Annotated, Title 49,
Chapter 4, relative to financial aid.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. Tennessee Code Annotated, Section 49-4-1003, is amended by deleting subdivision (2) and substituting instead the following:

(2) "Educational institution" means:

(A) Any public university, college, community college, college of applied technology, or any private college or university that is regionally accredited and has its primary campus domiciled in this state; and

(B) A private postsecondary institution that:

(i) Has established a partnership with this state pursuant to a memorandum of understanding executed in 2013;

(ii) Is accredited by a regional accrediting association;

(iii) Uses a competency-based model;

(iv) Has established and continuously maintains a physical campus or location of operation within this state;

(v) Maintains a governing body or advisory board based in Tennessee with oversight of Tennessee operations; and

(vi) Has been chartered in this state as a not-for-profit entity for at least five (5) consecutive years;

SECTION 2. Tennessee Code Annotated, Section 49-4-1003, is amended by deleting subdivision (5) and substituting instead the following:

(5) "Full-time student" means a student:

(A) Attending an educational institution, as defined in subdivision (2)(A) who is enrolled in at least twelve (12) semester hours during each fall, spring, or summer semester of attendance toward the student's first bachelor's degree; or

(B) Attending an educational institution, as defined in subdivision (2)(B), who is enrolled in the term prescribed by the institution for the student to make satisfactory progress toward the student's first bachelor's degree;

SECTION 3. Tennessee Code Annotated, Section 49-4-1003, is amended by deleting subdivision (11) and substituting instead the following:

(11) "Semester hour" means the credit hour used by an educational institution, if the institution is on a semester system, or its equivalent if the institution is on a system other than a semester system, and includes:

(A) A credit hour used by an educational institution pursuant to the institution's competency-based model; and

(B) Each semester hour attempted, whether remedial or for credit toward a degree, but does not include any semester hour attempted before graduating from high school or earning a high school equivalency diploma;

SECTION 4. Tennessee Code Annotated, Section 49-4-1005, is amended by deleting the section and substituting instead the following:

The following are limitations and conditions on eligibility for tuition reimbursement under the program:

(1)

(A) At an educational institution, as defined in § 49-4-1003(2)(A), a member must maintain satisfactory academic progress and, for undergraduate, vocational, or technical programs, a minimum grade point average of 2.0, and for a master's program, a minimum grade point

average of 3.0, as determined by the educational institution attended for the semester for which the member applies for tuition reimbursement; or

(B) At an educational institution, as defined in § 49-6-1003(2)(B), a member must maintain satisfactory academic progress as determined by the educational institution in which the member is enrolled;

(2) A member receiving tuition reimbursement under this part who ceases to be eligible for the reimbursement because the member fails to maintain satisfactory academic progress or the required grade point average at the end of any semester may regain eligibility for tuition reimbursement at the end of any subsequent semester in which satisfactory academic progress and the required grade point average are established;

(3)

(A) At an educational institution, as defined in § 49-4-1003(2)(A), tuition reimbursement must be paid on behalf of a member for no more than one hundred thirty (130) semester hours toward the member's first bachelor's degree. A member ceases to be eligible for tuition reimbursement under this part upon the first of the following events to occur:

(i) The member has attempted one hundred thirty (130) semester hours at an educational institution, as defined in § 49-4-1003(2)(A), toward the member's first bachelor's degree, inclusive of any postsecondary semester hours earned prior to receipt of tuition reimbursement under this part; or

(ii) The member has earned their first bachelor's degree;

or

(B) At an educational institution, as defined in § 49-6-1003(2)(B), tuition reimbursement must be paid on behalf of a member for no more than the number of courses or terms required, on average, for students enrolled in the educational institution to earn their first bachelor's degree, as determined by the institution. A member ceases to be eligible for tuition reimbursement under this part upon the first of the following events to occur:

(i) The member has attempted the number of courses or terms required, on average, for students enrolled in an educational institution, as defined in § 49-4-1003(2)(B), to earn their first bachelor's degree, as determined by the institution; or

(ii) The member has earned their first bachelor's degree;

(4)

(A) At an educational institution, as defined in § 49-4-1003(2)(A), tuition reimbursement must be paid on behalf of a member for no more than forty (40) semester hours toward the member's first master's degree. A member ceases to be eligible for tuition reimbursement under this part upon the first of the following events to occur:

(i) The member has attempted forty (40) semester hours at an educational institution, as defined in § 49-4-1003(2)(A), toward the member's first master's degree, inclusive of any post-baccalaureate semester hours earned prior to receipt of tuition reimbursement under this part; or

(ii) The member has earned their first master's degree; or

(B) At an educational institution, as defined in § 49-6-1003(2)(B), tuition reimbursement must be paid on behalf of a member for no more than the number of courses or terms required, on average, for students enrolled in the educational institution to earn their first master's degree, as determined by the institution. A member ceases to be eligible for tuition reimbursement under this part upon the first of the following events to occur:

(i) The member has attempted the number of courses or terms required, on average, for students enrolled in an educational institution, as defined in § 49-4-1003(2)(B), to earn their first master's degree, as determined by the institution; or

(ii) The member has earned their first bachelor's degree;

(5) Tuition reimbursement must be paid to an educational institution, as defined in § 49-4-1003(2)(A), on behalf of a member for no more than twenty-four (24) semester hours toward a certificate or diploma from a vocational or technical program. A member is no longer eligible for tuition reimbursement under this part when the member has attempted twenty-four (24) semester hours toward a certificate or diploma from a vocational or technical program, inclusive of any semester hours earned in that same vocational or technical program prior to receipt of tuition reimbursement under this part. It is not required that tuition reimbursement under this part apply toward a member's first certificate or diploma from a vocational or technical program;

(6) Notwithstanding subdivisions (3)(A) and (4)(A), a member who is enrolled in an officer-producing program at an educational institution, as defined in § 49-4-1003(2)(A), is exempt from the semester and semester-hour limits for

tuition reimbursement under this part for up to thirty (30) additional semester hours for the limited purpose of allowing the member to complete the courses required to accept a commission upon graduation with the member's first bachelor's or master's degree;

(7) Tuition reimbursement amounts that a member is eligible to receive under this part must be offset and reduced by the aggregate amount of state and federal education financial assistance received by the member during the semester or educational term, unless federal law or regulation requires otherwise, in which case federal priority controls. Such assistance includes, but is not limited to, the Tennessee Promise scholarship, the Tennessee Reconnect grant, the Tennessee HOPE scholarship, and similar state assistance, as such assistance programs or grants may be amended, as well as Tennessee student assistance awards, the federal Pell grant, Montgomery GI Bill benefits, Post-9/11 GI Bill benefits, and federal tuition assistance program benefits;

(8) Members eligible for federal tuition assistance must apply for and use federal tuition assistance;

(9) A member is ineligible for tuition reimbursement pursuant to this part if the member is suspended from receiving federal tuition assistance due to academic performance or recoupment;

(10) Members receiving a reserve officer training corps scholarship must exhaust the benefits of the reserve officer training corps scholarship in order to be eligible for tuition reimbursement under this part;

(11) Members must be in good standing and currently active in the Tennessee national guard; and

(12) Members must submit an application for tuition reimbursement under this part within forty-five (45) days of course completion, or term completion for members seeking tuition reimbursement at an educational institution, as defined in § 49-4-1003(2)(B).

SECTION 5. This act takes effect July 1, 2026, the public welfare requiring it.